

Business Recommendations

Based on the analysis, the following recommendations are proposed:

1. Prioritize credit score and debt-to-income ratio during loan underwriting.
2. Apply enhanced review procedures for larger loan amounts.
3. Monitor borrower affordability metrics such as loan-to-income ratios.
4. Use economic stress testing as part of ongoing portfolio risk monitoring.
5. Segment borrowers into risk tiers to support targeted risk management strategies.